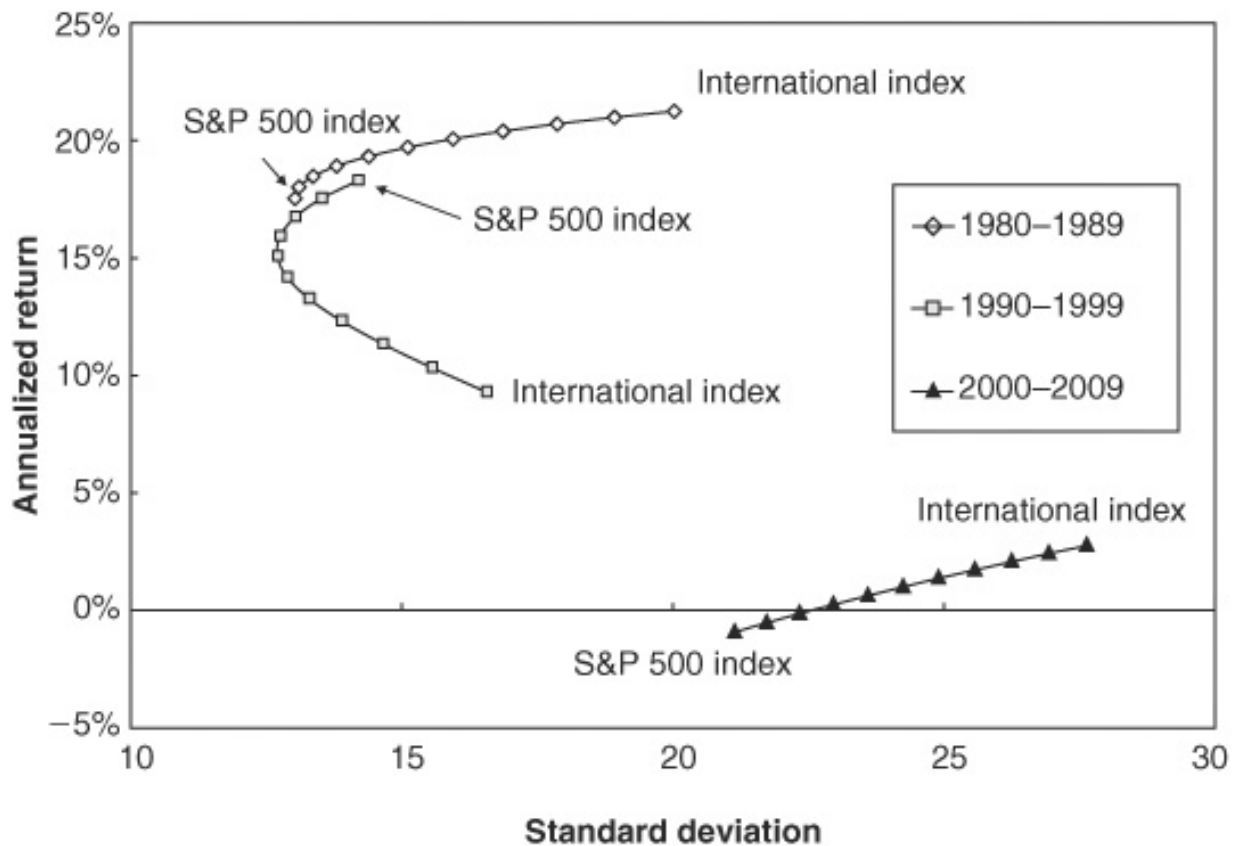


question the wisdom of owning international stocks. One of those was John Bogle, founder of the Vanguard Group of mutual funds.

FIGURE 4-3

S&P 500 and International Stocks: Risk and Reward over Various Decades



I have the greatest respect for John Bogle, but I don't always agree with him, and this was one of those times. A single 10-year period is not a reason to be out of international stocks for a lifetime. By the end of 2009, after international stocks outperformed U.S. stocks by a wide margin, people saw the benefits of international exposure. Even John Bogle changed his view and now accepts an allocation of up to 20 percent in international stock index funds.

There have been and will be periods when international stocks reduce portfolio risk and increase return, and times when they do not. However, over a lifetime of investing, international equity is one way to add a diversification benefit over an all-U.S. stock allocation.

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